

Qualifying Agent Risk Analysis — William J. Marceau Sr.

For: William J. Marceau Sr. (license holder, CAC1814895) **Re:** Serving as Primary Qualifying Agent for Marceau Solutions LLC (Florida HVAC contracting) **Prepared by:** William J. Marceau Jr. (Marceau Solutions owner) **Date:** 2026-05-25 **Document version:** 1.0

Executive summary

You (Bill Sr.) are being asked to serve as the **Primary Qualifying Agent (PQA)** for Marceau Solutions LLC so that the business can legally perform HVAC contracting work in Florida under your Class A Certified Air Conditioning Contractor license (CAC1814895). William Jr. would operate the business day-to-day as the on-site technician under your supervision.

This document outlines what you are legally and financially on the hook for, what you must do to satisfy Florida law, and the specific risks to your license and personal assets. Read it fully before signing the DBPR Qualifying Business Application (Form CILB 4357).

Your residence in Long Island, NY introduces additional supervision complexity that Florida-based qualifying agents do not face. This document explicitly addresses out-of-state QA risks.

Bottom line: This is workable, but it is NOT a passive arrangement. Your license, your personal liability, and your reputation are on the line for every job Marceau Solutions performs. You must be genuinely involved or you risk losing the license entirely.

1. Statutory framework — what Florida law requires of you

Primary governing statutes and rules

- **FS 489.105(4)** — Definition of "Qualifying Agent": person who possesses the requisite skill, knowledge, and experience, and has the responsibility, to supervise, direct, manage, and control the contracting activities of the business organization with which they are connected
- **FS 489.119** — Business organizations; qualifying agents; rules to be observed
- **FS 489.127** — Prohibitions; unlicensed contracting penalties
- **FS 489.128** — Contracts entered into by unlicensed contractors unenforceable

- **FS 489.129** — Disciplinary proceedings
- **FS 489.131** — Applicability
- **FAC 61G4-15.001 through .008** — Construction Industry Licensing Board administrative rules on qualifying agents

Your core legal responsibilities as Primary Qualifying Agent

Per FS 489.1195, you are responsible for **all** of the following:

1. **Supervision** of the construction activities of Marceau Solutions
2. **Compliance** with the Florida Building Code and all applicable building, fire, electrical, plumbing, and mechanical codes
3. **Permits** — applying for, displaying, and closing out building permits issued in the name of the business organization
4. **Inspections** — being present for or arranging for proper inspections during work
5. **Project supervision** of all field activities, including those performed by employees or subcontractors
6. **Financial responsibility** — ensuring proper financial responsibility of the business organization
7. **Standards of practice** — adherence to all Florida construction industry standards
8. **Customer contracts** — ensuring all contracts comply with FL requirements (mandatory disclosures, notice of right to rescind, etc.)
9. **Public records compliance** — proper notice of commencement, certificates of completion, lien releases, etc.

What "supervision" specifically means under Florida law

Per FAC 61G4-15.001 and case law:

- **Active and continuous supervision** of construction activities
- Not necessarily present at every job site, but having **meaningful involvement** in decisions
- Available to respond to inspectors, customers, and DBPR investigations
- Authority to direct or correct work performed
- Periodic on-site presence at jobs in progress
- Review and approval of contracts, change orders, and plans

What DOES NOT count as supervision (red flags that get qualifying business arrangements revoked):

- Lending your license name to someone else to operate without your real involvement
- Signing permits you have not reviewed
- Failing to address known code violations
- Inability to respond to inspection or DBPR communications
- Not knowing who your business's customers are or what work has been done

2. Long Island, NY → Florida supervision considerations

You are a non-resident qualifying agent. This is legally permitted in Florida but introduces specific risks.

What FL DBPR scrutinizes for out-of-state QAs

DBPR has been increasingly aggressive about pursuing arrangements where the qualifying agent is geographically distant from the business and unable to provide genuine supervision. Recent enforcement actions have targeted:

- QAs who lend names for monthly fees without real involvement (criminal — FS 489.127)
- QAs who cannot demonstrate physical involvement during DBPR investigation
- Business organizations whose work product reflects clear lack of qualified supervision

For an out-of-state QA, DBPR may request **evidence of supervision** at the qualifying business application stage AND during subsequent investigations:

- Visit logs to Florida
- Documentation of communications with operating personnel (William Jr.)
- Permits signed by the QA
- Job sign-offs / approval records
- Customer complaint response records

Realistic supervision framework for your situation

To maintain genuine supervision from Long Island, the operational discipline below is what must happen:

Element	Requirement	Estimated time commitment
Pre-quote review	William Jr. texts/emails every quote to you for review before sending to customer	5-10 min/job, ~3-5 jobs/week initially
Permit applications	All Florida building permits applied for in YOUR name with your contractor license; reviewed by you before submission	15-30 min/permit, varies
Photo job review	Before/after photos of every job texted to you for sign-off (creates audit trail)	5 min/job

Daily availability	Phone reachable during William Jr.'s field hours (typical 8am-7pm ET = 8am-7pm Naples time) for live decisions	On-call basis
Monthly Florida visits	Minimum monthly trip to Florida, at least 2-3 days, with documented ride-alongs on jobs	3-4 days/month travel + cost
Decision/communication log	Maintain a shared log of decisions, approvals, and supervision events	5 min/week
DBPR/inspector contact	YOU respond to any DBPR or inspector communications, not William Jr.	As needed
Annual CEUs	Maintain 14 hours every 2 years for license renewal	14 hours every 2 years
License renewal	\$255 fee + CEUs, due 8/31 even-numbered years	\$255 + time

Long Island → Florida travel cost analysis

Travel pattern	Annual cost (flights + ground)	Notes
Monthly trip (12/year)	\$2,400 – \$4,800	Most defensible from supervision-adequacy standpoint
Quarterly trip (4/year) + as-needed	\$1,200 – \$2,400	Likely insufficient if work volume scales beyond 2-3 jobs/week
Semi-annual (2/year)	\$400 – \$800	Insufficient — DBPR likely to view as inadequate
Driving from Long Island	~\$300 fuel + 40+ hours each round trip	Time prohibitive for monthly cadence

Recommendation: Budget monthly Florida trips. This is the minimum cadence that supports the supervision narrative AND keeps you connected to the business reality.

3. Personal liability exposure

This is where the financial risk becomes real for you personally.

License-related liability

Risk	Outcome	Financial impact
DBPR discipline (failure to supervise, code violation, complaint)	License suspension or revocation	License lost; income from the business pivots ended; reputation damage
License revocation	Cannot reapply for ~5 years; current business loses qualifier and cannot operate	Total loss of the HVAC business
Administrative fines	DBPR can impose fines up to \$10,000+ per violation	Out of pocket
Civil penalties	Per FS 489.127 — unlicensed contracting can result in civil penalties up to \$5,000 per occurrence	Out of pocket
Criminal charges for willful unlicensed contracting	First offense: first-degree misdemeanor. Second offense or amounts >\$500: third-degree felony	Legal defense + potential conviction

Civil liability from customer issues

Risk	Outcome	Financial impact
Customer property damage	Lawsuit, claim against general liability insurance	Insurance covers up to policy limits; you personally liable for excess
Customer injury on job	Lawsuit, claim against GL	Same — insurance to limits, personal liability for excess
Refrigerant leak / environmental claim	EPA violation, environmental claim	Insurance may not cover; EPA fines up to \$25,000+/day
Faulty installation causing fire / flood	Major property loss claim	High-dollar, could exceed standard policy limits
Customer fraud claim (e.g., billing for unperformed work)	Civil suit + DBPR complaint	Insurance may exclude; reputation damage
Workers comp claim if exemption improperly applied	Out-of-pocket medical and indemnity costs	Could be tens of thousands

Personal asset exposure

The LLC provides some protection (Marceau Solutions LLC liabilities are generally limited to the LLC's assets), BUT:

- **Your license is YOUR personal asset**, not the LLC's. DBPR can discipline YOU even if the LLC is named in the complaint.
- **Personal guarantee on lease, equipment financing, or business credit** would expose your personal assets directly.
- **"Piercing the corporate veil"** — courts can disregard LLC protection if the LLC is found to be improperly operated, undercapitalized, or commingled with personal finances.
- **Professional liability** (errors and omissions) — your individual license holder status creates personal exposure beyond the LLC.

What insurance does and does not cover

General Liability (\$300k BI / \$50k PD minimum, recommend \$1M):

- Customer property damage from negligent work — COVERED
- Bodily injury to customers/third parties on job sites — COVERED
- Defense costs for covered claims — COVERED
- Intentional acts (fraud, etc.) — NOT COVERED
- Workers' injuries (that's workers comp) — NOT COVERED
- Damage to your own work product — NOT COVERED (separate inland marine policy)
- Pollution/environmental claims — NOT COVERED (typically requires endorsement)
- Professional liability (errors/omissions) — NOT COVERED

Workers Compensation:

- William Jr. as sole operator can file for exemption (saves premium)
- But if exemption is improperly filed or William hires help without WC coverage, you (as QA) are personally exposed to injury claims

Surety Bond (~\$10k bond, ~\$200/yr premium):

- Required for licensure in some FL municipalities
- Not insurance — pays the BOND value to a customer who wins a claim, and then bond company comes after YOU personally to recover

4. Worst-case scenarios

These are real situations that have happened to FL HVAC qualifying agents. Use them to gut-check whether the upside outweighs the risk.

Scenario A: Customer files DBPR complaint for incomplete or substandard work

- William Jr. completes a job; customer is unhappy
- Customer files complaint with DBPR
- DBPR investigates → looks at your supervision evidence
- If supervision evidence is thin (you weren't around, no permits in your name, no quotes reviewed by you), DBPR escalates
- Possible outcomes: warning, fine, suspension, or revocation

Mitigation: Documented supervision (quotes reviewed, permits in your name, monthly visit logs, photo job approvals)

Scenario B: Customer is injured on job site

- William Jr. or a helper accidentally damages something / injures customer
- Customer sues Marceau Solutions LLC AND you personally as license holder
- GL insurance defends but coverage may be inadequate
- Out-of-pocket exposure for excess + defense costs

Mitigation: \$1M GL coverage minimum (not just \$300k DBPR minimum), proper safety training for William, documented job procedures

Scenario C: William Jr. performs work outside your supervision

- William starts taking jobs while you're in Long Island
- Skips quote-review step, doesn't loop you in
- DBPR discovers via complaint or audit
- DBPR concludes you're not supervising → license revocation

Mitigation: Hard operational rules — NO job proceeds without your review. Make the rule absolute.

Scenario D: Code violation on installed work fails inspection

- Permitted job fails inspection (e.g., improper refrigerant line sizing, code violation)
- Inspector flags it; multiple failures accumulate
- DBPR sees pattern of code issues under your license
- Discipline triggered

Mitigation: Pre-installation review for any significant work; conservative job selection initially (service calls first, install work only when you can be present)

Scenario E: Refrigerant violation (EPA Section 608)

- William Jr. handles refrigerant without proper EPA 608 cert OR violates handling protocols
- EPA fines and DBPR complaint
- License consequences

Mitigation: William Jr. completes EPA 608 Universal certification BEFORE any refrigerant work

Scenario F: William Jr. cannot fulfill obligations

- Job goes sideways, William Jr. unable to complete or unwilling to fix
- You as QA must step in OR risk license discipline
- Customer demands resolution from licensed contractor (you)
- You're 1,200 miles away — must travel + remediate at your cost

Mitigation: Clear written agreement between you and William Jr. about responsibilities, escalation, and what happens if William cannot complete a job

5. Operational protections to put in place BEFORE first job

A. Written Operating Agreement for Marceau Solutions LLC

The Operating Agreement should explicitly address:

- William Jr.'s role as sole owner/operator
- Your role as Qualifying Agent and the scope of your supervisory authority
- William Jr.'s obligation to follow your direction on contracting matters
- Your right to suspend operations if supervision becomes compromised
- Indemnification clause where William Jr. holds you harmless for his unsupervised acts (limited — won't override license discipline)
- Compensation structure if any (most family-arrangement QAs serve without separate fee, but document it either way)

B. Documented supervision protocols

- Quote pre-approval (William texts you every quote; you reply approve or revise; saved as text history)
- Permit applications in YOUR name (you sign the permit application personally or via secure remote signing)
- Photo before-and-after for every job (William sends, you confirm)
- Job log with date, address, customer name, work performed, your approval status

C. Insurance coverage above DBPR minimums

• General Liability: \$1,000,000 per occurrence, \$2,000,000 aggregate (not the \$300k DBPR minimum) • Tools and equipment coverage if buying inventory (Inland Marine) • Commercial Auto endorsement on William's SUV (required before any paid job) • Pollution liability endorsement (refrigerant releases) • Optional: Professional liability (E&O) — adds another \$500-1,000/year but covers judgment-based claims	
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D. Documented financial separation

• Dedicated business checking account for Marceau Solutions HVAC operations • ALL revenue flows into business account • ALL business expenses paid from business account	
• Personal vs. business expenses NEVER commingled (defends against veil-piercing)	

E. Emergency exit clause

You should be able to revoke your QA status at any time. Florida law requires you to file DBPR notice to terminate the qualifying agent designation. The business then has 60 days to find a replacement QA or wind down contracting activities.

Specific triggers that should automatically trigger your exit:

• William Jr. takes a job without your pre-approval • Pattern of customer complaints		
• Failed inspections / pattern of code issues		
• Insurance lapse • William's W-2 job takes over and he cannot fulfill operational obligations		

6. Mitigation framework (consolidated)

Risk	Mitigation
DBPR discipline for inadequate supervision	Monthly visits + documented supervision protocols + permits in your name
Out-of-state QA scrutiny	Documented supervision evidence (logs, photos, quote approvals) + monthly visit cadence
License revocation	Operating Agreement with William Jr.; hard rule that no work proceeds without your sign-off

Personal asset exposure beyond LLC	\$1M GL coverage; clean LLC financial separation; commercial auto on SUV
EPA/refrigerant violation	William Jr. completes EPA 608 Universal cert BEFORE first job
Code violation pattern	Conservative job selection initially; you present for any install/permit-required work in early jobs
Customer dispute	Written contracts/quotes; clear scope; before/after photos; immediate Google review request
William Jr. unable to complete	Written agreement on escalation; you reserved right to suspend operations
You become unable to supervise (health, time)	60-day notice to DBPR; William cannot continue contracting without you

7. Bill Sr.'s decision framework

Before signing the Qualifying Business Application, you should be able to answer YES to each of the following:

- Am I willing to be physically in Florida for at least one trip per month?
- Am I able to be reachable by phone during William Jr.'s field hours?
- Am I willing to review every quote before it goes to a customer?
- Am I willing to apply for and sign permits in my own name?
- Am I willing to maintain detailed records of my supervision activities?
- Am I willing to put my license at risk if William Jr. doesn't follow our protocols?
- Am I comfortable with the personal liability exposure outlined in Section 3?
- Am I willing to terminate the QA status if supervision becomes inadequate?
- Have I discussed this with my own attorney and/or accountant (recommended)?
- Do I trust William Jr. to follow the operational rules without deviation?

If any of these is NO, do not sign the application. The arrangement won't work and your license will be at risk.

8. Cost-benefit summary for Bill Sr.

Item	Amount
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Costs to Bill Sr.		
License renewal fee (8/31/2026)		\$255
14 CE hours (one-time per cycle)		\$130-180
Qualifying business application fee		\$155
Monthly FL travel (flights + ground)		\$200-400/month = \$2,400-4,800/year
Time investment (supervision, visits)		10-20 hours/month
Insurance cost increase (if you maintain personal liability umbrella)		varies
Total annual cost to Bill Sr.		~\$3,000-\$5,500/year + time
Benefits to Bill Sr.		
Compensation arrangement (TBD with William Jr.)		Negotiate
Family business legacy		Intangible
Putting license to use vs. letting it lapse		Active vs. lapsed
Total monetary benefit to Bill Sr.		TBD based on agreement

The financial case for Bill Sr. depends entirely on how William Jr. compensates him for the QA role + travel costs. Without compensation, Bill Sr. is bearing meaningful costs (travel, time, liability exposure) for non-monetary reasons (family, legacy).

Recommendation: William Jr. should propose a specific compensation structure — either:

- A flat monthly retainer (e.g., \$500-1,000/month)
- A percentage of net profit (e.g., 10-15%)
- Coverage of all travel costs + per-visit consultation fee

This protects Bill Sr. from being financially burdened by the role AND creates a documented business relationship that defends against "license lending" accusations.

9. Next steps if Bill Sr. agrees to proceed

1. **Bill Sr. reads this document in full** and discusses any concerns with his own attorney/accountant
2. **Compensation arrangement** between William Jr. and Bill Sr. agreed and documented
3. **Operating Agreement** for Marceau Solutions LLC drafted and signed (recommend a Florida attorney — costs \$500-1,500 for a proper one)

4. Bill Sr. completes CE hours and renews license by 8/31/2026
5. Insurance shopping for \$1M GL coverage on Marceau Solutions (3 quotes minimum)
6. William Jr. completes EPA Section 608 Universal cert
7. Bill Sr. signs DBPR Form CILB 4357 Qualifying Business Application
8. DBPR processes application (4-6 weeks)
9. First service call with Bill Sr. PRESENT in Florida

10. Document control

Field	Value
Document path	projects/marceau-solutions/hvac/qualifying-agent-risk-analysis.md
Companion document	projects/marceau-solutions/hvac/pivot-plan.md
Last updated	2026-05-25
Prepared by	William J. Marceau Jr.
For	William J. Marceau Sr. (license holder)
Status	DRAFT — pending Bill Sr. review

This document is informational and does not constitute legal advice. Bill Sr. should consult with a Florida construction attorney and his accountant before signing any DBPR application or business agreement.